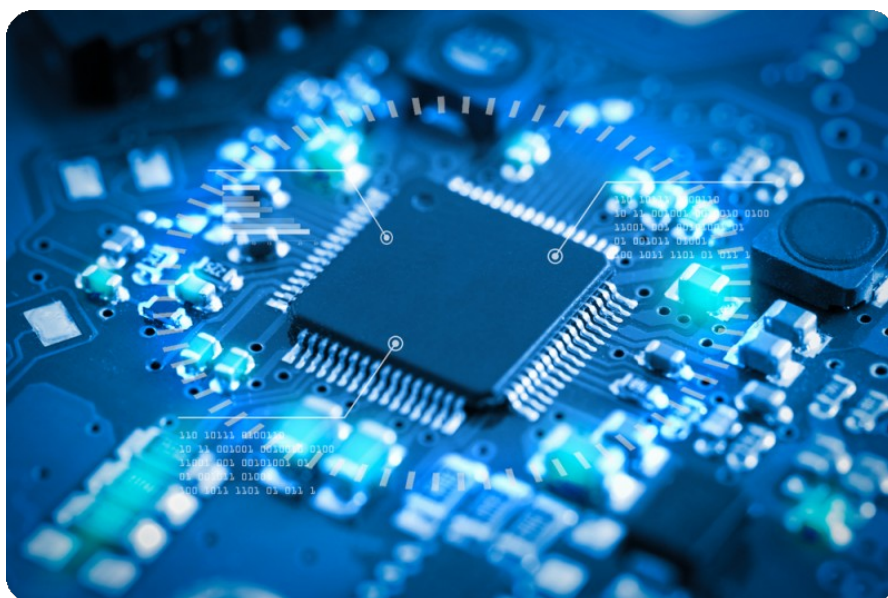


Article | 7 July 2026

TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

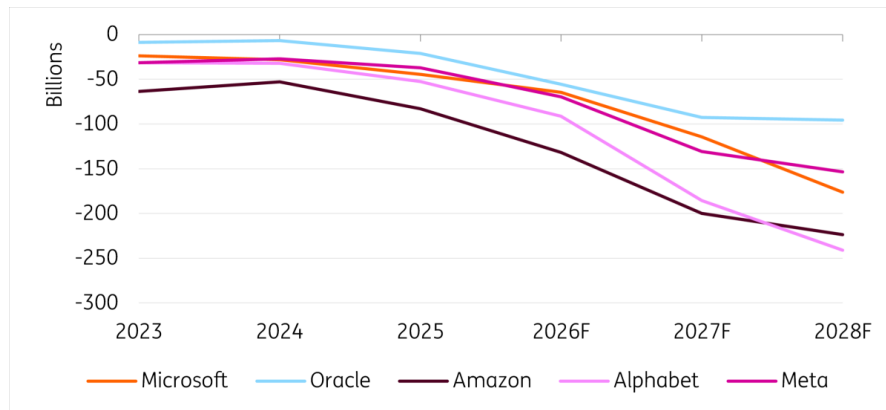
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

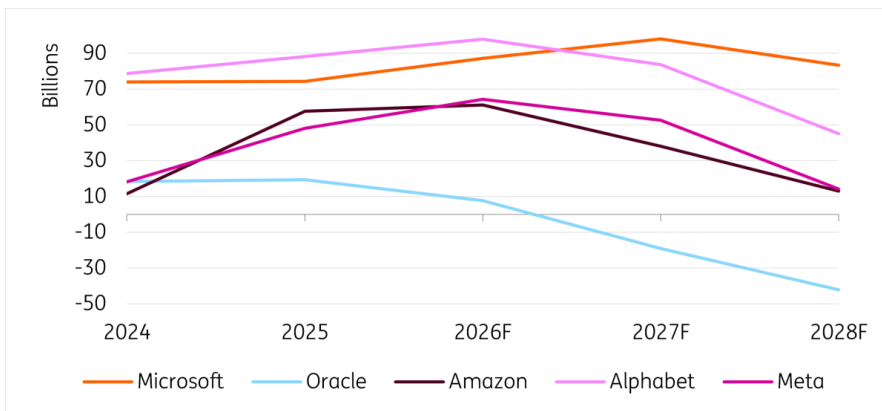
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

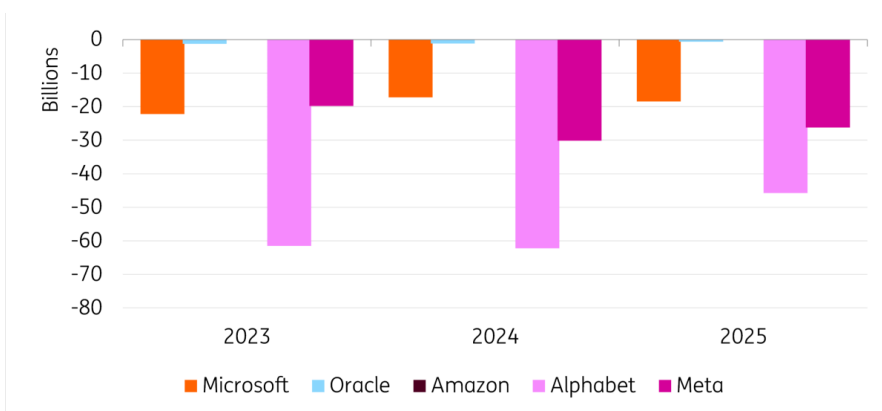
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 2 July 2026

UNITED STATES

US rate hike talk cools on softer jobs data

US job creation slowed after a decent three-month run while the unemployment rate fell, but this was primarily due to worker disengagement with more than 700,000 leaving the labour force. A disappointing outcome that has taken the wind out the sails for calls for imminent rate hikes. A soft July CPI report should boost the case for a prolonged Fed pause



US job growth was weak in June

57,000

US jobs added in June

Lower than expected

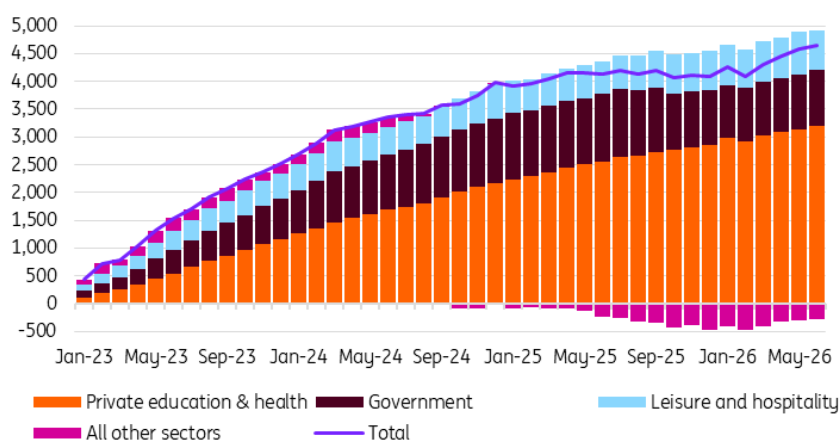
Weak jobs growth, unemployment rate falls for bad reasons

The June US jobs report led with a softer-than-expected non-farm payroll growth number of 57,000 (consensus 113k) with 74,000 downward revisions to the past two months. The

unemployment rate dipped to 4.2% from 4.3%, but this was primarily caused by a big drop in the participation rate to 61.5% from 61.8% – ie not a good reason since it highlights worker disengagement. In fact, the details show the number of people employed falling by half a million, while the number of people unemployed fell 213k, meaning more than 700k left the workforce. Worryingly, the bulk of the pain was seen in prime age workers – those aged 25–54 – where the participation rate fell from 83.9% to 83.3%. Wage growth was in line at 0.3% month-on-month or 3.5% year-on-year.

In terms of non-farm payrolls, the private sector was particularly subdued, rising only 49k, with private education/healthcare services yet again the only source of strength, rising 69k. This sector has cumulatively accounted for 70% of all the jobs created in the United States since December 2022 – a remarkable degree of job concentration. Leisure and hospitality has been another key sector for job creation in recent years, but not in June. Employment fell 61k, which is a major surprise given the World Cup is on and bars and the venues themselves are busy. Employment in this sector had increased by 44,000 in May, so it may be that business owners had thought there might be even more excitement about what was going on and have been left disappointed.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Inflation is the Fed's focus, but better news is coming here

Non-farm payroll growth averaged just 8,571 per month between January 2025 and February 2026, but there was a decent uptick over the March-May period when payrolls increased 164k on average. Today's number suggests that this was not necessarily the start of a new trend and takes some out of the wind of the sails for the call for imminent rate hikes. However, Federal Reserve Chair Kevin Warsh has made it clear that inflation is the Fed's focus right now, so market reaction is somewhat muted, with cumulative hikes by December now amounting to 31bp versus 37bp just before the data was published. The 14 July consumer price inflation data should show MoM prices falling due to the steep drop in gasoline prices and that will likely

have more of an impact on investor psychology. We continue to favour a prolonged pause from the Federal Reserve rather than expect a 2026 rate hike.

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Article | 7 July 2026

POLAND

National Bank of Poland preview: In a sweet spot for now

With inflation back at the 2.5% target in June, we think the Polish central bank is likely to maintain its wait-and-see stance on 9 July. Rate hikes are off the table, while cuts remain unlikely in the near term. Rates should stay unchanged through year-end, although easing discussions may re-emerge later this year



NBP Governor Adam Glapiński could opt for a more dovish tone at Thursday's press conference, but the debate over potential rate cuts is only likely to gather momentum after the summer

The impact of the energy shock linked to the conflict in the Middle East appears to have been short-lived, and the pass-through of high oil prices on core inflation more limited than expected. Although the spike in oil prices and the subsequent rise in petrol prices pushed Poland's consumer inflation from around 2% at the beginning of the year to above 3% in March and April, CPI inflation came in well below market expectations in May and June. According to the flash estimate, headline inflation stood exactly at the National Bank of Poland's target of 2.5% last month.

The easing of the oil shock and the temporary nature of the rise in headline inflation have altered market perceptions of the monetary policy outlook. At the beginning of June, rate forwards were pricing in more than three rate hikes, whereas by the start of this month some

investors had already begun betting on rate cuts later this year. Our views are less volatile. Throughout the US-Iran war, we held the view of flat NBP rates. Now, our baseline scenario also assumes that rates remain unchanged (at 3.75%) until the end of 2026, as we see CPI slightly above the 2.5% year-on-year target for the rest of this year.

We expect the Monetary Policy Council to leave rates unchanged in July and maintain its wait-and-see stance. The easing cycle in Poland was interrupted by turmoil in the Persian Gulf, but policymakers will require greater confidence in a favourable inflation outlook before resuming monetary easing. So far, the decline in inflation has largely been driven by normalising oil prices and unexpectedly sharp falls in food prices. Core inflation remains close to 3%. Moreover, fiscal measures aimed at reducing petrol and diesel prices, including lower excise duties and VAT rates, expired at the end of June, pushing fuel prices higher at the start of July.

The July macroeconomic projection is likely to present a favourable medium-term inflation outlook, but we believe policymakers will need several months to convince themselves that the economy is avoiding lagged inflation effects of energy or supply chain shocks, especially on the core CPI side. While Governor Adam Glapiński may strike a somewhat dovish tone at Thursday's press conference, the debate over potential rate cuts is only likely to gather momentum after the summer.

As the likelihood of further rate hikes from the European Central Bank has diminished and additional monetary tightening by the Federal Reserve this year appears increasingly doubtful, the external negative pressure on the zloty should diminish. Still, the FX market appears worried that the NBP may turn more dovish soon, which is PLN negative. By contrast, the National Bank of Hungary's dovish rhetoric has had little impact on the forint, which continues to benefit from a strong convergence play. With euro adoption still a more distant prospect in Poland, however, any further softening in the NBP's tone poses a greater downside risk to the zloty.

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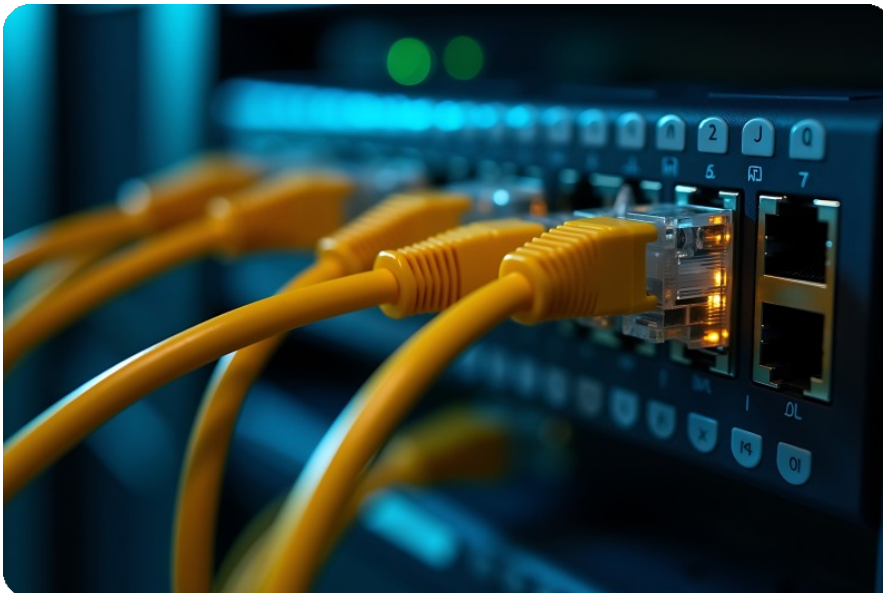
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Article | 7 July 2026

TMT UNITED STATES

The AI race is driving TMT debt issuance

AI platform competition is accelerating, driving increased investment in technology, media, and telecommunications. Though much capex will still be funded by operating cash flows, the sector is set to dominate 2026 debt markets with roughly €55bn of additional issuance in Europe and at least \$50bn in the US



We remain supportive of robust issuance across European and US credit markets, driven by tech deals amid the AI boom

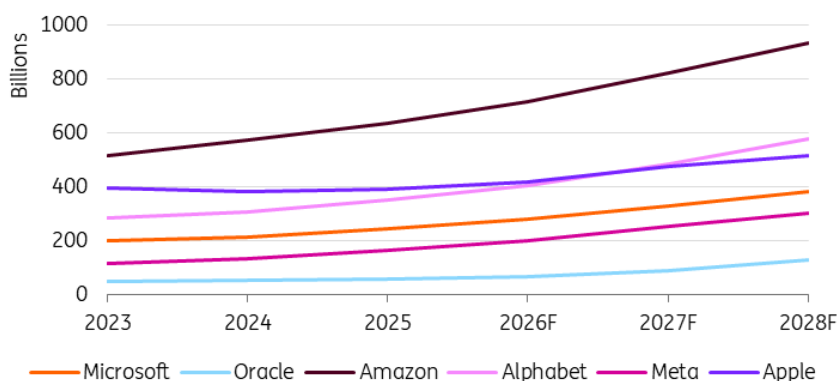
We're seeing a [race to dominate](#) the AI platform infrastructure, with operators of large technology platforms ramping up investments. We expect technology, media, and telecommunications (TMT) issuers to account for a large share of the €485bn total credit issuance expected for 2026. Given year-to-date issuance, we expect the TMT sector to raise an additional €55bn from European debt markets this year. Given upcoming redemptions, we expect at least an additional US\$50bn to be raised by TMT issuers in US credit markets. In this note, we provide updated figures while maintaining our view that a large share of the investments by the large technology platforms will come from operating cash flows.

AI revolution translates into strong revenue growth

The Gen AI revolution was initially met with scepticism, with investors questioning whether heavy spending would generate meaningful returns. Today, however, the largest technology platforms are reporting strong AI-driven revenue growth.

Although this performance is still largely driven by strong growth in their Cloud businesses, TMT companies are already seeing growing revenue contributions from AI-based lines of business. Moreover, the market expects revenues from the largest technology platforms to rise even further. We agree with this view. Consensus revenue growth expectations are shown in the figure below. In our view, revenue growth is real, on both a historical and forward-looking basis.

Technology sector continues to show strong revenue growth (USD)

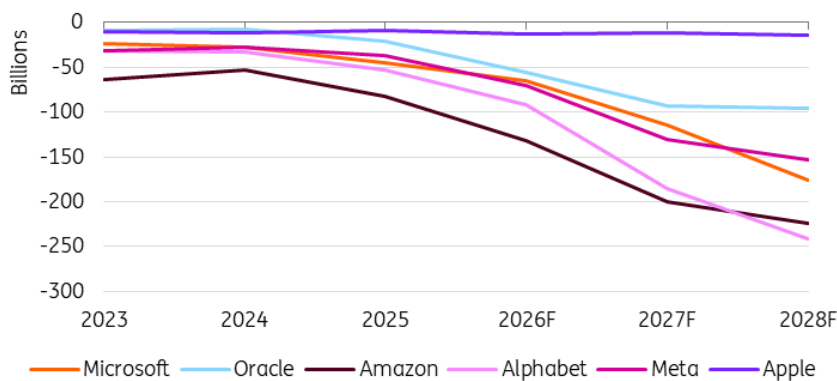


Source: Refinitiv, ING

Organic cash generation remains impressive and can cover investment requirements

We continue to expect this strong revenue growth to support a further increase in operating cash flow. This is especially important as companies ramp up capital expenditure. As can be seen in the chart below, the world's largest technology companies are expected to invest more than US\$700bn in fiscal year 2026 – approximately a sevenfold increase since 2021.

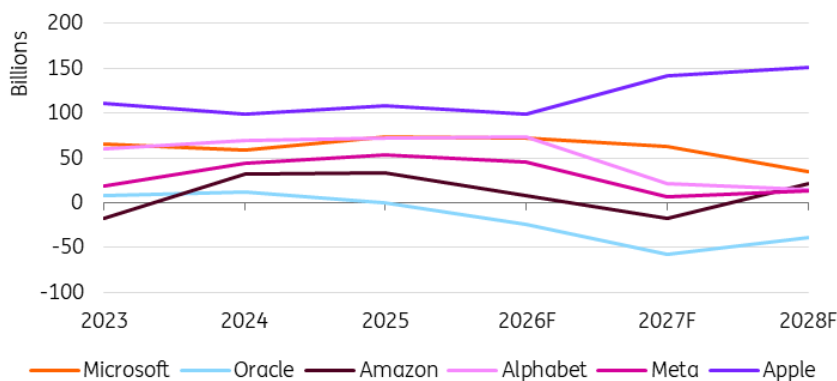
Capital expenditures are rising quickly (USD)



Source: Refinitiv, ING

One of the positive elements of accelerating spending plans to fund the AI infrastructure build-out is that they can largely be funded by growth in operating cash flow.

Most technology platforms generate solid cash flow (OCF – Capex) (USD)



Source: Refinitiv, ING

TMT companies continue to raise cash in debt markets

Since companies can fund most of their investments with operating cash flow, why would they turn to debt markets to raise capital? First, based on low leverage, companies such as Alphabet and Amazon have room to issue more debt within current rating metrics.

Second, because demand for AI services exceeds supply, and large technology platforms are looking to expand capacity. They can potentially accelerate the build-out through issuing debt, thereby capturing capacity-based market share.

Third, we think capital markets are open and see an opportunity for these companies to raise more debt. Companies need to do this strategically to avoid market saturation. When they raise debt diligently, they can avoid paying high new issuance premia. This is also why it matters to be first to market.

Fourth, we expect companies to be keen to resume share buybacks when they have the opportunity to fund them. This would be an additional reason to issue debt. At this point, it's difficult to forecast the total market share buyback amount. Part of the uncertainty stems from other cash flow items, such as potential acquisitions. It also arises from the expansion of investment plans. We see these investments as a strategic game in which no company wants to fall behind. As such, companies are looking to reduce operating costs, freeing up more money to allocate to investments.

The race to expand capacity is also constrained by physical supply limitations. Not all vendors can meet demand, while permitting processes take time. As investment plans are regularly revised higher, there is less cash left for share buybacks. As such, we expect companies to seek maximum financial flexibility, including debt issuance, to increase capital spending within current rating limits.

In the following two sections, we describe the room individual issuers have, as well as how additional issuance will look within the wider credit markets.

For TMT, total outstanding debt is largely denominated in US\$ and euros (€bn)

	US	Euro	UK	Switzerland	Australia	Canada	Norway	Hong Kong	Japan
IBM	27.7	20.8	0.9						0.2
Microsoft	38.2	2.3							
Orange	14.2	30.8	2.6	0.1			0.1	0.1	
Apple	66.3	4.7	1.5	0.4					
Oracle	112.8								
AT&T	105.5	20.7	6.7	0.2	0.2	2.3			
Amazon	89.8	14.5		3.1		8.7			
Meta	73.9								
Alphabet	63.9	22.3	6.4	3.3		5.3			3.1
American Tower	21.4	7.8							
T-Mobile US	59.8	7.3							
Deutsche Telekom	12.0	16.1	1.4	0.9	0.2		0.3	0.2	
Equinix	10.2	4.4		0.4		1.2			
Digital Realty Trust	4.7	3.7	1.0	0.8					

Source: Refinitiv, ING

Individual issuers also have room to raise more debt

Technology companies have historically raised most of their debt in US and European capital markets. Here, we argue that tech firms can raise at least as much as incumbent telecom operators. As shown in the chart above, Oracle and AT&T have issued roughly €110bn of notes in the dollar market, while Orange has raised €31bn from European markets. As most technology platforms, including Alphabet and Amazon, have industry-leading ratings, we see

scope to raise similar amounts across Europe and North America and even more in the coming years. The share of AT&T in the “iBoxx \$ Corporates” benchmark is only 1.02%; Oracle’s share is 1.22%. We argue that issuers have scope to raise even more debt even if asset managers start imposing single-name issuer benchmark caps. Because a 3% cap is standard in customised high-yield indices, there’s still ample room for tech issuers to add more debt. Orange’s share in the iBoxx € Corporates benchmark is currently 0.79%.

As can be seen in the chart above, TMT issuers are also tapping markets beyond the US and the EU – notably the UK, Switzerland, Canada and Japan. We expect this trend to continue as companies look to diversify funding sources. Although relative funding costs matter, we think the desire to tap multiple investor pools drives the decision to look elsewhere. The US and EU remain the most important markets for funding.

2026 monthly bond supply (incl. redemptions) in Europe and the US

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Euro corporate supply/redemptions (€bn)													
Total supply	45.1	39.2	50.1	32.7	68.0	29.0							264
TMT	8.7	11.8	16.7	3.7	23.2	4.4							68
Redemptions													
All Sectors	21.9	18.3	33.4	27.4	38.8	34.1	17.7	12.4	33.8	26.1	28.8	11.7	304
TMT	1.2	3.1	4.4	5.6	4.6	3.3	1.6	1.8	8.0	2.8	3.4	1.9	41
US Dollar corporate supply/redemptions (US\$bn)													
Supply													
All Sectors	56.2	144.4	178.7	97.6	91.9	72.8							642
TMT	23.0	49.4	78.5	57.2	14.1	40.2							262
Redemptions													
All Sectors	39.3	73.2	74.7	40.9	39.3	46.5	30.0	44.0	42.9	28.7	39.8	27.1	526
TMT	1.4	20.6	22.6	7.3	9.2	10.5	5.8	16.8	11.5	7.4	2.1	2.7	118

Source: Dealogic, ING

How does this impact overall credit supply figures?

Looking at overall FY26 corporate supply, we remain supportive of robust issuance across European and US credit markets. This is driven by substantial deals from US tech issuers, also leading to robust Reverse Yankee supply. Another factor prompting high supply is the relatively large number of bonds coming due in FY26 (the elevated level of redemptions can be seen in the figure above). Issuance volumes are therefore expected to remain elevated for the remainder of FY26, reaching the overall supply forecast of €485bn for European markets. We expect roughly 25% of this supply to come from the TMT sector, or €121bn for FY26. Net total supply is set to remain broadly stable at around €180bn, in line with 2025 levels, influenced by elevated FY26 bond redemptions (about €304bn).

Corporate supply in Europe year-to-date is already at €264bn. This figure is materially higher than in previous years (except for 2020). Markets in the USA show similar trends; YTD supply amounts to US\$642m, also ahead of previous years (except 2020). Interestingly, 41% of YTD supply in the US comes from the TMT sector. We expect robust TMT issuance in the US for the

remainder of the year. Upcoming redemptions mean that US\$ supply should be at least US\$50bn.

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Article | 7 July 2026

FX

FX Daily: Le Pen's court ruling not a big event for the euro

A court decision on whether to allow Marine Le Pen to run for office today has great implications for French politics, but is probably limited for markets, which may well be pricing an RN win (and sound enough fiscal policy) also under Jordan Bardella. Elsewhere, FX volatility may stay capped in a quiet day data-wise. JPY intervention risk remains high



Le Pen eligibility ruling matters more for politics than markets

➔ USD: Quiet markets, carry favoured

The week has started on a quiet note in FX. ISM services was bang on consensus yesterday at 54.0, and the prices paid subcomponent declined largely as expected. A speech by the Fed's Chris Waller also failed to stir things up in markets. He tentatively criticised Warsh's forward guidance ban and said risks have flipped on the hawkish side for the Fed. Hardly anything new to markets.

FX volatility may stay capped ahead of tomorrow's FOMC minutes and given a rather empty US data calendar today. [We argued yesterday](#) that markets probably require a convincing narrative to short the high-yielding dollar in such a favourable environment for carry. Unless the minutes surprise on the dovish side (we don't think so), that narrative should not emerge

this week, and DXY can stay closer to 101.0 than 100.0.

The major risk for DXY probably stems from potential large-scale FX intervention in Japan. USD/JPY continues to go its own way – regardless of USD swings – and is back close to 162.0 after a brief post-NFP correction. Failing to intervene below 163.0 could fuel speculation the new line in the sand is closer to 165.

Elsewhere in APAC, we expect a hike by the Reserve Bank of New Zealand tomorrow morning (announcement 0400 CEST). As discussed in [our preview](#), this has turned into a rather close call after the decline in oil prices. But markets are pricing in 18bp for this meeting and 58bp by year-end, and a hold looks like too big a risk for dovish repricing and potential de-anchoring of inflation expectations. NZD upside may still prove relatively limited as a tight decision may cast doubts that this will be followed by another hike this year.

Francesco Pesole

➔ EUR: Court decision on Le Pen not that important

All eyes in Europe are on a Paris appeal court ruling on Marine Le Pen's embezzlement case. She remains banned from office, and if upheld, the RN is likely to be led into the April 2027 presidential election by Jordan Bardella.

Both Le Pen and Bardella are ahead of other potential candidates in the polls, but a reversal of Le Pen's ban could strengthen the RN and shift expectations in favour of a Le Pen candidacy over Bardella.

We doubt this event has great market potential though. We suspect OATs and the euro can be seriously unnerved only by a surge in support for left-wing candidates like Jean-Luc Mélenchon at this stage. For now, polls suggest Le Pen or Bardella would beat Mélenchon comfortably, with tighter run-offs versus centre-right (and likely market-friendly) candidates such as Edouard Philippe and Gabriel Attal. We think markets have largely priced in a Le Pen or Bardella win, and that either would deliver sufficient fiscal prudence to limit bond volatility, potentially along the lines of Giorgia Meloni's approach in Italy.

Today, we don't expect much action in the euro anyway. We see a risk of 1.140 being retested soon, but low volatility may be the name of the game considering no strong data or central bank inputs.

Francesco Pesole

Elsewhere in Europe, sterling has been performing well recently and could indirectly get a boost today from the gilt market. Here, the Bank of England releases its Financial Stability Report update at 1030CET. In focus will be whether the BoE removes gilts from its Leverage Exposure Measure, against which banks have to hold 3.25% of Tier 1 capital. Doing so could

increase domestic demand for gilts, reduce government borrowing costs (by perhaps 10-20bp) and loosen financial conditions in general. On a quiet day, if delivered, this move could send EUR/GBP through support at 0.8545 towards the 0.8500 area.

Chris Turner

📉 CZK: Soft CPI may test CNB hawkish pricing

The Czech Republic releases June inflation this morning, the first print since the CNB's June rate hike. Our economists expect headline inflation to ease further from 2.1% to 1.9% YoY, with downside risks from lower fuel prices. Core inflation is also expected to edge down from 2.9% to 2.8%. Both readings would therefore come in below the CNB's May forecast of 2.1% and 2.9%, respectively.

Markets are currently pricing in almost the full rate hike over a one-year horizon, which could come under pressure today if softer inflation is confirmed. Still, we do not think this would materially alter the CNB's hawkish tone unless core inflation surprises meaningfully to the downside. Core inflation, strong wage growth and robust credit activity were the key reasons behind the June hike. At the same time, the CNB expects headline inflation to move above 3% later this year and especially early next year. In our view, the current low headline inflation below the 2% target is therefore unlikely to change the central bank's communication much.

EUR/CZK has moved back to lower levels in recent days, closer to 24.150, helped by weaker US data and some dollar softness. However, our model suggests the rate differential is more consistent with levels around 24.250, and weaker inflation could push the koruna weaker today. We are therefore short-term bearish on CZK for now, but beyond this week we still expect a hawkish CNB and a later rebound in EUR/USD to drive a more sustained move lower in EUR/CZK.

Frantisek Taborsky

📉 HUF: Lower inflation opens path to more rate cuts

Hungarian inflation dropped further from 1.8% to 1.7%, below market expectations. This is also below the National Bank of Hungary's forecast in its June Inflation Report (2.0%). This will therefore cement the rate cuts in July and August.

Based on yesterday's pricing, the market was pricing around 150bp of easing and a 4.50% terminal rate, in line with our forecast, assuming BUBOR remains above the policy rate at the end of the cycle. While this appears sizeable in a global comparison, relative to 2024 there is still room for the market to price in at least one additional rate cut in our view. Conditions are much more favourable than they were two years ago, so we expect the dovish inflation path to push pricing further towards additional easing.

This should mechanically be negative for FX. However, we think the rate differential has only a limited impact on EUR/HUF at the moment, with the market more focused on domestic politics and the euro adoption story. In the short term, the forint may come under some pressure as more cuts are priced in, but over the medium term we expect EUR/HUF to stabilise within the current 350-356 range. At the same time, the forint may continue to benefit from summer carry demand.

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Article | 30 June 2026

AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

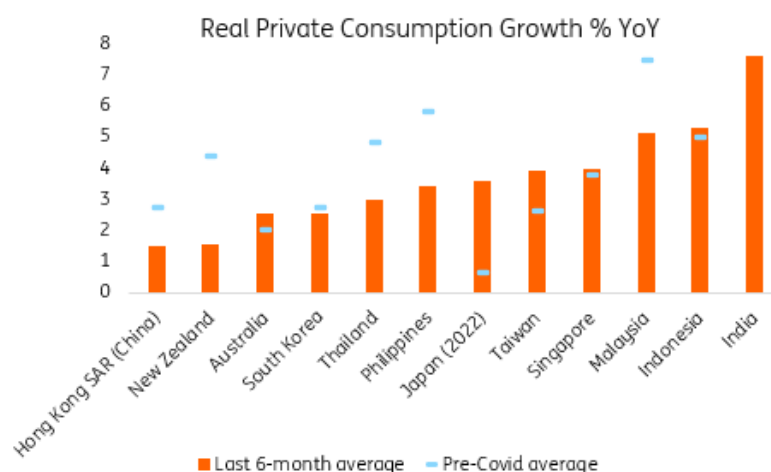
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

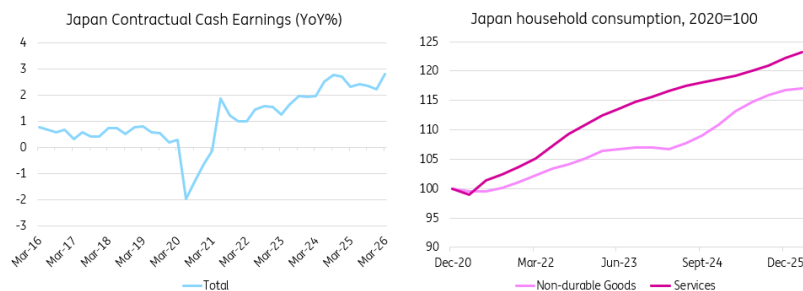
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households—primarily the top 10–20% who already have greater exposure to risk assets.

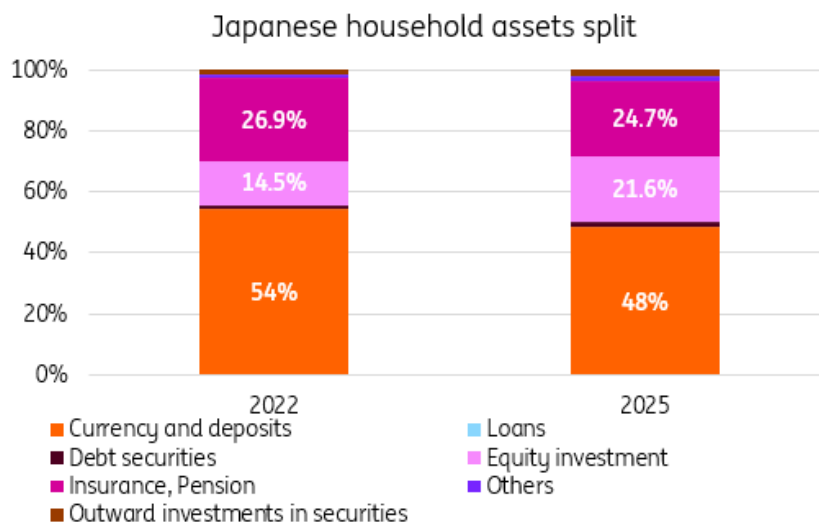
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

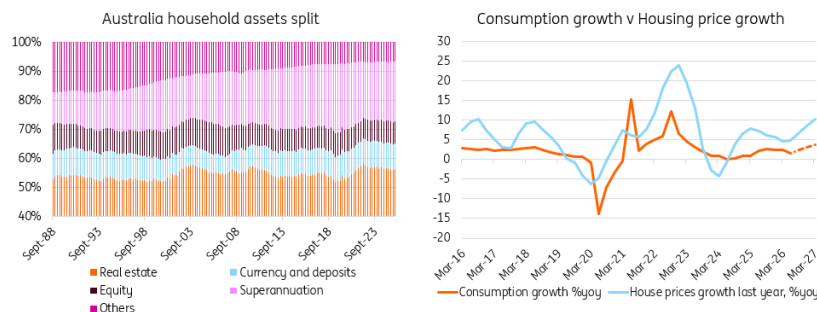
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

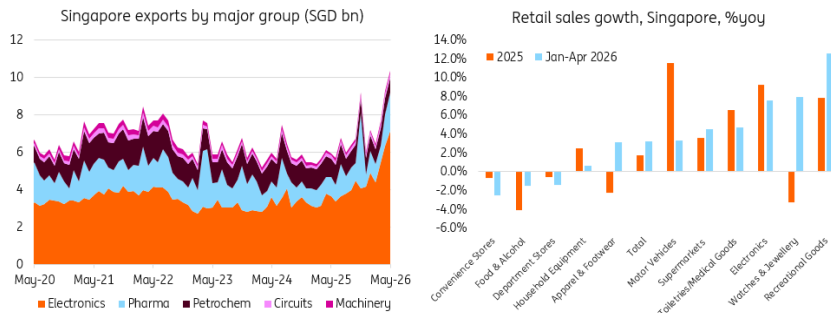
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



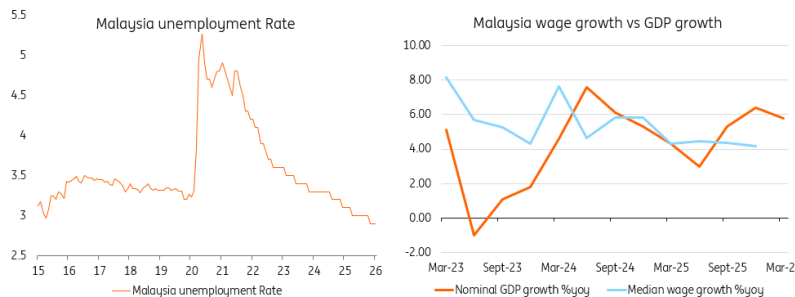
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

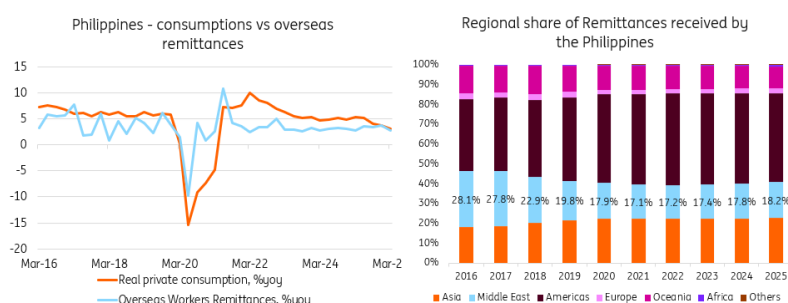
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

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Article | 29 June 2026

COMMODITIES, FOOD & AGRI ENERGY

The curious case of collapsing oil prices

Oil prices have sold off aggressively following the US-Iran Memorandum of Understanding. While we believe the move is overdone, we look at some of the reasons behind the strong pullback in prices



The oil market is treating this temporary US-Iran ceasefire as a permanent deal. This is clearly not the case.

The oil market prices in a quick recovery of Persian Gulf supplies

The Memorandum of Understanding (MoU) between the US and Iran has led to a significant sell-off in the oil market – far more aggressive than most analysts were expecting, including us.

The sell-off has been driven firstly by the premature expectation of a normalisation in oil supply from the Persian Gulf, and secondly, clear weakness in the physical market. However, we believe that the market is being too optimistic over the speed of the supply recovery as well as its sustainability. Furthermore, we have seen a significant tightening in global oil inventories since the start of the conflict, which leaves the market more vulnerable relative to the pre-war environment.

The price action in recent weeks reflects a market that is treating this temporary ceasefire between the US and Iran as a permanent deal. This is clearly not the case, and as we have

seen over the last four months, the situation can change very quickly. It took long enough to agree on a temporary ceasefire. Reaching a permanent deal which tackles the nuclear issue within 60 days would be very optimistic. Of course, there is always the potential for the ceasefire to be extended, which would effectively be kicking the can down the road.

Fundamentally, while a reopening of the Strait of Hormuz is seeing oil and LNG flows pick up, they remain well below pre-war levels. Our balance sheet continues to show that the oil market will be tight through the third quarter, and this follows the significant inventory drawdowns since March. We believe the market has overshot to the downside. However, our assumption is that flows will only get close to pre-war levels towards the end of the third quarter, while current price levels imply a return to normal by the end of July.

At close to \$70/bbl, the oil market currently has close to zero geopolitical risk premium priced in. [Under our base case, we had forecast ICE Brent to average \\$85/bbl in 4Q26](#). Clearly, more bearish sentiment combined with a quicker supply recovery poses a risk to this view.

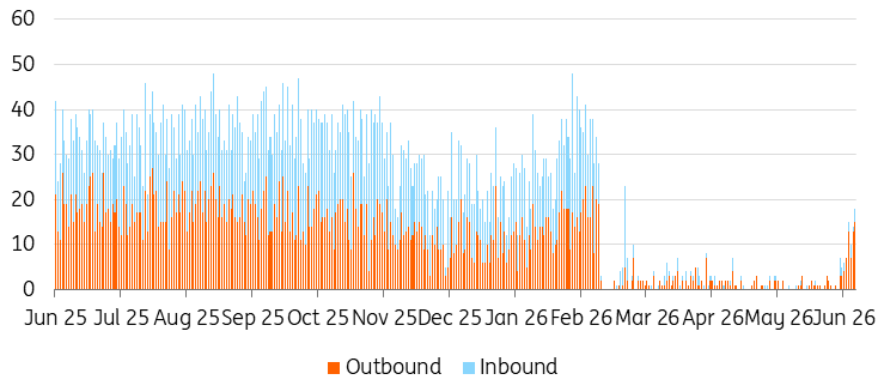
In this note, we look at some of the key reasons why the market has sold off so aggressively.

Persian Gulf oil flows are resuming

Oil flows through the Strait of Hormuz are picking up, vessel tracking data shows an increase in crossings, although for now they clearly remain well below pre-war levels. Over the last week, it is estimated that oil flows have averaged around 7m b/d vs pre-war flows of 20m b/d. However, we do not need to see Strait of Hormuz oil flows return to 20m b/d in order for Persian Gulf oil supply to fully recover. Given that some Saudi and UAE oil is bypassing the strait with the help of pipeline diversions, we only need to see flows through the strait return to around 14m b/d to get back to pre-war levels.

However, the key uncertainty is whether these flows can be sustained. A lot of these vessel movements are essentially vessels which have been trapped for months in the Persian Gulf finally moving out. Inbound vessel movements are more modest, which suggests flows could pull back once previously stranded ships have left the Persian Gulf.

Strait of Hormuz oil tanker crossings rise but dominated by outbound movements (number of tankers)



Source: LSEG, ING Research

Note: Vessels which turn off their AIS will not be reflected in this data

✓ Iran sanction waiver

A condition of the MoU was that, in addition to the US lifting its blockade on Iranian ports, sanctions would be eased on Iranian oil exports. The US has kept to this promise with the blockade lifted and a temporary 60-day waiver on sanctions. The lifting of the US blockade is more important when it comes to seeing a recovery in Iranian oil exports. The easing in sanctions does open the door for further potential buyers of Iranian oil (rather than almost exclusively China), which suggests that discounts on Iranian crude oil could narrow, rather than lead to a dramatic increase in Iranian supply. In order to see Iranian oil output increase, we would need to see a more permanent easing in sanctions, which would then potentially see Iran managing to increase output by about 500k b/d from pre-war levels.

✓ The physical oil market is weak

A key factor behind the weakness is that ultimately, the physical oil market is weak at the moment. Buyers have been deferring purchases in anticipation of lower prices, and so are happy to draw down inventory instead. The weakness in the physical market is highlighted by the widening discounts for a number of crude grades. Dated Brent is trading at a discount to Brent futures and there have been reports of China reselling West African cargoes.

However, restocking will need to happen at some stage, as the continued drawing down of inventory is not sustainable. The forward curve still does not provide the biggest incentive to restock, so possibly we may have to see the forward curve flatten and possibly even move into contango for more meaningful restocking to occur.

And while there will be a lot of attention on when and if we see a recovery in China's crude oil

imports, it is unlikely that we see significant restocking from China given that while imports have fallen drastically following the war, inventory drawdowns have been much more modest. The restocking demand we expect will come from elsewhere.

Dated Brent vs front-line Brent futures- DFL (US\$/bbl)



Source: LSEG, ING Research

✓ Return of Gulf flows coincides with continued SPR releases

The pickup in oil flows from the Persian Gulf is also coinciding with the continued release of oil from government strategic reserves. IEA member countries early on in the conflict agreed to a coordinated release of 412m barrels – the largest on record. These volumes continue to come onto the market, and if we look at just the US, releases from the Strategic Petroleum Reserve have averaged more than 1.2m b/d since May.

✓ Demand destruction has been more aggressive than expected

Expectations had been that demand destruction in the second quarter of the year was anywhere between 2-3m b/d, with most of this coming from the petrochemical sector and aviation. However, more recent estimates from the IEA suggest that the demand hit has been far more aggressive than expected. The IEA estimates that 2Q26 demand fell around 5m b/d YoY, compared to a previous estimate of a 2.45m b/d year-on-year decline over the quarter. Demand appears to have been much more reactive beyond the sectors and fuels initially expected. More aggressive demand destruction would also mean that the degree to which the market has had to rely on inventories is somewhat less. Looking forward, the key question is how quickly demand recovers. The IEA expects that global oil demand will only return to YoY growth in the final quarter of this year.



Growing surplus expectations for 2027

There is a growing expectation that the global oil market will be well supplied through 2027, assuming obviously that the return of Persian Gulf supply continues. While the 2027 supply/demand balance means little for current fundamentals, markets are forward-looking, and so this will not be helping sentiment.

The higher prices seen through March and much of the second quarter mean that there has been an increase in US drilling activity. As a result, US crude oil production is expected to grow in the region of 500k b/d YoY in 2027.

In addition, the UAE's exit from OPEC leaves room for stronger supply from the Middle East. The UAE had been producing around 3.5m b/d pre-war, and with current capacity of almost 4.3m b/d and plans to increase this to 5m b/d in 2027, there is sizeable upside to supply next year.

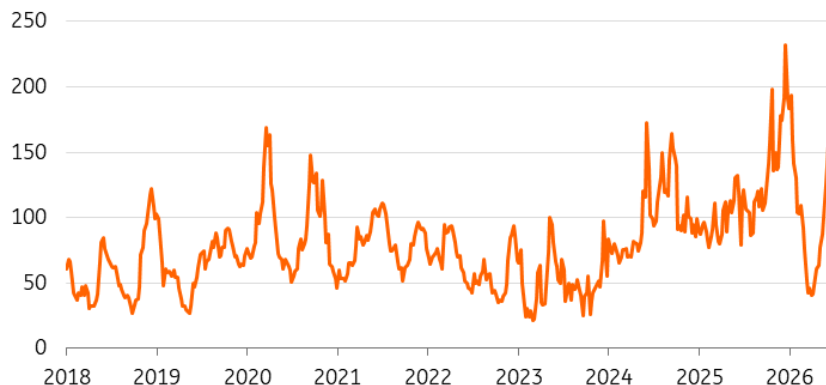
Furthermore, Iran is another potential source of additional supply. However, this will largely depend on whether there is a more permanent easing in US sanctions on Iran. If this were the case, we could see Iran increase output by around 500k b/d from pre-war levels to around 3.8m b/d.

Some may argue that if we move to significant oversupply in 2027, we will see OPEC+ manage supply in an attempt to rebalance the market. However, this may be more difficult to put into practice. Gulf countries have suffered in recent months due to the war and the blockade of the Strait of Hormuz, so there will likely be pushback if producers are asked to rein in supply. Iraq has already made it clear that it wants a higher production quota following the war. And with the recent exit of the UAE and threats from Iraq, the group will want to be careful about pushing members too much.

✓ A significant speculative short has built up in the oil market

Through the war, there was a reluctance amongst market participants to hold too much risk in the market, given the headline-driven nature of the market and how one tweet could lead to wild swings in prices. However, since the temporary peace deal, we have seen a sizeable amount of fresh selling coming into the oil market. In fact, the speculative gross short in ICE Brent is near record highs, and while this highlights the bearish sentiment in the market, it also suggests that the speculative short is somewhat stretched, which may limit the appetite for significant further fresh selling.

The managed money gross short in ICE Brent is near record levels (000 lots)



Source: ICE, ING Research

✓ Consumers are not jumping into the market to hedge

Tying in with buyers deferring purchases in the physical market, in the futures market, consumers are also holding back from hedging, possibly in anticipation of lower prices. While recent Commitment of Traders data does show that ICE Brent consumer longs have edged higher recently, they are still well below pre-war levels.

ICE Brent commercial gross long (000 lots)



Source: ICE, ING Research

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 26 June 2026

KEY EVENTS

THINK Ahead: US jobs data and the ECB's inflation test

In a holiday-shortened week in the US, Thursday's June jobs report should be a cause for cheer, while falling gasoline prices are also helping ease inflation pressure. In Europe, eurozone inflation data will test ECB rate hike expectations



On 4 July, the US will celebrate the 250th anniversary of the signing of the Declaration of Independence

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Thu): America will be celebrating the 250th anniversary of the signing of the Declaration of Independence next Saturday, resulting in a holiday-shortened week. Thursday's June jobs report should also be a cause for cheer, with the fourth consecutive 100k+ reading for non-farm payrolls having averaged merely 8,500 per month between January 2025 and February 2026. While a print of around 110k will not be especially stellar, it will be enough to keep the market pricing Federal Reserve interest rate hikes. The ongoing fall in energy prices is another cause for celebration, with gasoline prices set to break below \$3.50 per gallon imminently. This will leave more money in consumers' pockets while also prompting sharply lower inflation readings over the next few months. Manufacturing surveys also suggest a decent ISM report, which, all

in all, means we expect a week that should be supportive for risk appetite.

Eurozone (Bert Colijn)

- **June Economic Sentiment Indicator** (Mon): After a sluggish PMI, the question is whether the second big survey on the eurozone economy shows more improvement. The Middle East deal will not have been fully incorporated yet, but with oil prices already moderating before the deal was struck, sentiment should see some improvement. Consumer confidence, part of the indicator, has already been released and indeed ticked up. Not only sentiment about output, but also inflation sentiment is very relevant. If fewer companies intend to price through higher costs, this will be a clear dovish sign for the ECB.
- **Inflation** (Wed): The key indicator for next week will be inflation for June from a eurozone perspective. Some positive notes on inflation recently, as businesses seem more wary about increasing prices and, most importantly, prices at the pump have come down in recent weeks, which brings the annual increase down compared to May. Markets have been adjusting ECB rate hike expectations down and the June number will be a clear mark for how concerning the inflation situation is now that the deal will bring additional relief.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **June Flash CPI** (Tue): We project a further decline in headline inflation amid a visible decline in fuel prices vs. the previous month, even though the excise duty on gasoline and diesel was restored to its regular levels from the beginning of the year. Food price inflation remains benign, and core inflation was likely broadly unchanged compared to May. All in all, the National Bank of Poland is unlikely to signal any deviation from its wait-and-see policy stance in early July, and the new inflation projection should show that inflation might be heading towards the target, potentially as early as 2Q27, meaning there is no need to hike rates. At the same time, the return to cuts is unlikely any time soon, given the uncertainty regarding the impact of the recent Middle East conflict on prospects for the global economy.

Czech Republic (David Havrlant)

- **June Manufacturing PMI** (Wed): The Statistical Office will likely confirm the 1Q GDP take, though we see some scope for upward revision of the soft quarterly growth. Industrial PMI is expected to have marginally deteriorated in June, while it remained safely in expansionary territory, proving a welcome resilience of Czech manufacturing to the Middle Eastern disturbance.

Turkey (Muhammet Mercan)

- **Inflation** (Fri): We expect monthly inflation to moderate further in June to 0.8%, resuming a downtrend in the annual figure to 31.9% from 32.6% a month ago. This would be driven by unprocessed food prices thanks to a recovery in agricultural production and favourable rainfall so far this year, while the rapid decline in oil prices is also supportive for energy inflation.

Key events in developed markets next week

THINK economic and financial analysis

Country	Time	Data/event	ING	Prev.
Monday 29 June				
Eurozone	0900	May M3 Money Supply	2.8	2.7
	1000	Jun Business Climate	0.1	-0.3
	1000	Jun Economic Sentiment	94.4	93.5
	1000	Jun Consumer Confidence Final	-	-19
Spain	0800	Jun CPI Flash NSA (MoM%/YoY%)	-/-	0.1/3.2
	0800	May Retail Sales (MoM%/YoY%)	-/-	-1.5/0.8
Tuesday 30 June				
US	1400	Apr Case-Shiller 20 (MoM%/YoY%)	-0.2/0.9	-0.2/0.8
	1445	Jun Chicago PMI	55.8	62.7
	1500	Jun Consumer Confidence	97.5	93.1
	1500	May JOLTS job openingsd (000s)	7250	7618
Germany	0700	May Retail Sales Real (MoM%/YoY%)	0.4/0.0	-0.3/-0.3
	0855	Jun Unemployment Rate	6.4	6.3
	1300	Jun CPI (MoM%/YoY%)	-/-	-0.2/2.6
France	0745	Jun CPI Prelim (MoM%/YoY%)	-/-	0.1/2.4
UK	0700	Q1 GDP Growth (QoQ%/YoY%)	-/-	0.6/1.1
	0700	Q1 Current Account GBP (GBP bn)	-	-18.4
Italy	1000	Jun CPI Prelim (MoM%/YoY%)	0.4/3.4	0.4/3.2
Canada	1330	Apr GDP (MoM%)	-	-0.1
Portugal	1100	Jun CPI Flash (MoM%/YoY%)	-/-	0.2/3.3
Wednesday 1 July				
US	1315	Jun ADP National Employment (000s)	110	122
	1500	Jun ISM Manufacturing PMI	54.2	54
	1500	Jun ISM Manufacturing Prices Paid	72	82.1
Eurozone	0900	Jun S&P Manufacturing PMI Final	51.6	51.6
	1000	Jun CPI Flash (YoY%)	3.1	3.2
	1000	Jun Core CPI Flash (YoY%)	2.6	2.6
Germany	0855	Jun S&P Global Manufacturing PMI Final	50.1	50.1
UK	0930	Jun S&P Global Manufacturing PMI Final	-	53.9
Italy	0845	Jun S&P Global Manufacturing PMI	53	52.9
Thursday 2 July				
US	1330	Initial Jobless Claims (000s)	225	215
	1330	Jun Non-Farm Payrolls (000s)	110	172
	1330	Jun Private Payrolls (000s)	115	120
	1330	Jun Unemployment Rate	4.3	4.3
	1500	May Factory Orders (MoM%)	-3.7	4.8
Eurozone	1000	May Unemployment Rate	-	6.3
Italy	0900	May Unemployment Rate	5.1	5.1
Switzerland	0730	Jun CPI (MoM%/YoY%)	-/-	0.2/0.6
Friday 3 July				
US	-	National Holiday	-	-
Eurozone	0900	Jun S&P Global Services PMI Final	-	47.7
	0900	Jun S&P Global Composite PMI Final	-	48.5
Germany	0855	Jun S&P Global Services PMI Final	48.1	48.1
	0855	Jun S&P Global Composite PMI Final	48.8	48.8
France	0745	May Industrial Output (MoM%)	-	0.1
	0850	Jun S&P Global Composite PMI	-	44.9
UK	0930	Jun S&P Global Services PMI Final	-	49.3
	0930	Jun S&P Global Composite PMI Final	-	49.7
Italy	0845	Jun S&P Global Composite PMI	-	50.4
Spain	0815	Jun S&P Global Services PMI	-	50.1

Source: Refinitiv, ING

Key events in Central and Eastern Europe next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 29 June				
Turkey	1200	May Bank NPL Ratio	-	2.7
	0800	Jun Economic Confidence	-	97.2
Kazakhstan		- Q2 GDP (YoY%)	-	3
Tuesday 30 June				
Turkey	0800	May Trade Balance Final (USD bn)	-5.6	-8.5
Czech Rep	0800	Q1 Revised GDP (QoQ%/YoY%)	0.2/2.2	0.2/2.2
Hungary	0730	May Trade Balance Final (EUR mn)	-530	370
Poland	0830	June flash CPI (MoM%/YoY%)	-0.1/2.9	-0.3/3.1
Wednesday 1 July				
Russia	0700	Jun S&P Global Manufacturing PMI	-	49.8
	1700	May Retail Sales (YoY%)	5.0	6.5
	1700	May Unemployment Rate	2.2	2.2
Turkey	0800	Jun Manufacturing PMI	-	49.8
Poland	0800	Jun S&P Global Manufacturing PMI	49.7	49.4
Czech Rep	0830	Jun S&P Global Manufacturing PMI	51.8	52.2
	1300	Jun Budget Balance (CZK bn)	-154.0	-170.2
Hungary	0800	Jun Manufacturing PMI	49.9	50.2
Kazakhstan		- Jun CPI (MoM%/YoY%)	0.7/10.2	0.7/10.4
Thursday 2 July				
Russia		- May GDP (YoY%) Monthly	0.5	1.3
Turkey	1230	Gross FX Reserves (USD bn)	-	53.1
Friday 3 July				
Russia	0700	Jun S&P Global Services PMI	-	48.7
	0700	Jun S&P Global Composite PMI	-	49.2
Turkey	0800	Jun CPI (MoM%/YoY%)	0.8/31.9	1.7/32.6

Source: Refinitiv, ING

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THINK economic and financial analysis

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Article | 25 June 2026

ENERGY UNITED STATES AI

Three trends to watch in the US data centre industry

From behind-the-meter power to new data centre hubs and 'boomtowns', an AI-era makeover is now reshaping energy, infrastructure and local economies across the US



A large-scale Google data centre in Nevada. Data centres are now driving an infrastructure revolution and energy demand growth at a rate not seen in decades

AI has become a key driver of economic growth in the US, with power constraints emerging as a defining factor shaping how sectors evolve. As AI-driven data centre expansion accelerates, it is reshaping energy demand, infrastructure needs, and local economies.

For instance, data centres are driving energy demand growth at a rate not seen in decades, requiring significantly more power than the grid can deliver in a 12 to 18-month span. Moreover, data centres are driving an infrastructure revolution, requiring significant buildouts necessitating new real estate and fibre networks in remote areas. All this will also affect affordability for the public, putting the topic at the forefront of data centre development.

Against this backdrop, we're closely tracking several key data centre trends in the US. This article explores behind-the-meter power, the rise of ultra-large hubs, and the emergence of data centre 'boomtowns'. A follow-up piece will examine modular solutions and evolving supply chains.

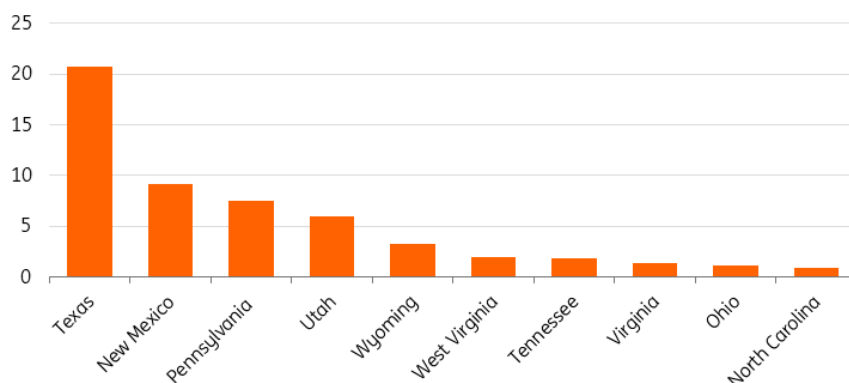
1. How data centres' own power can be a new grid asset – and more than a stopgap

Power availability is now a first-order concern for the data centre industry. Grid interconnection for both data centres and new power generation remains slow, often exceeding **four-year timelines**. Multiple reforms are underway, such as [recent action](#) by the Federal Energy Regulatory Commission (FERC) to accelerate large power consumer interconnection, but the effects take time to be seen.

As data centres race to bring new capacity online in the next 12-18 months, many are turning to on-site (or 'behind-the-meter') power. This means generating and using electricity directly on their premises, bypassing the grid.

Conservatively, over **55GW** of behind-the-meter capacity is being planned at US data centres. That is higher than the total installed power capacity in the state of New York. Texas has the most planned on-site capacity, followed by New Mexico and Pennsylvania.

US planned data centre on-site power generation capacity in top 10 states



Source: ING Research, Cleanview

The US accounts for most of the world's planned data centre behind-the-meter power capacity. This is driven by a huge project pipeline and cheap gas resources. Indeed, 75% of the planned US onsite power capacity is expected to be from natural gas through turbines, engines, and fuel cells. Renewables could also be a niche alternative, such as Switch's solar and battery-powered Citadel Campus in Nevada.

Most data centres view on-site generation as a 'bridging solution'

Still, most data centres view on-site generation as a 'bridging solution.' In the long term, the

majority would still return to relying on grid power. In fact, many data centres are developing behind-the-meter solutions while waiting to be connected to the grid.

An emerging issue today, however, is managing rapid load surges (e.g., over 20MW of surge in 0.25 seconds) thanks to shifts in AI workload-driven data centre design. These surges can be too quick for on-site generators to respond to, and they can put sudden strain on the grid. Another key challenge is how data centres can be seen as grid supporters rather than isolated power users, especially as power prices come under pressure.

Power storage stands out as a solution

For both challenges, **power storage** stands out as a solution.

Behind-the-meter power can already help smooth out demand spikes. And if combined effectively with utility-scale battery storage, it can give excess power back to the grid, boost overall capacity, and stabilise prices. Furthermore, batteries can help meet instant load surges, enhancing on-site generator performance. That is why we expect more battery systems to be added to data centres, not only alongside renewables, but also with gas-fired power generation.

Ultimately, data centres must adopt strategies that support local energy systems. That essentially means supporting consumers who rely on power from the grid. Battery storage onsite at data centres, as discussed above, will be an asset to the grid. Beyond that, participating in [virtual power plant \(VPP\) programmes](#) can make power demand from the grid more flexible (e.g. Google's deal with Voltus).

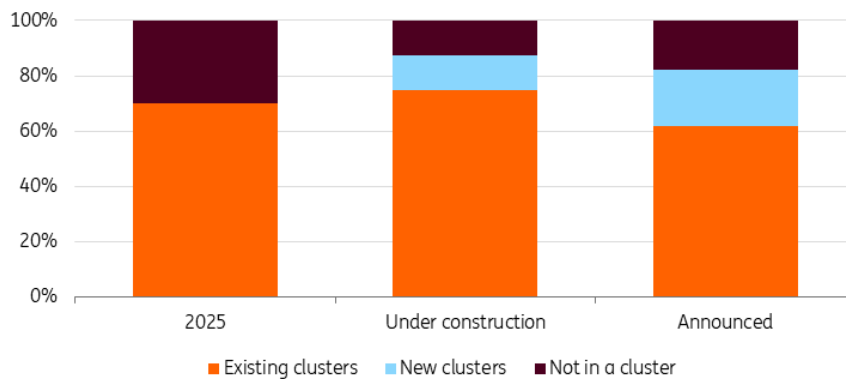
All these will become increasingly important as data centres are more vertically integrated with the energy sector (e.g. Google's acquiring of Intersect's digital power business). Smart data centre energy strategies, combined with evolving grid policies, will enable genuine energy transformation.

2. The rise of new ultra-large hubs calls for system efficiency

Data centres, especially those in the US, are large in size. Now, though, they are growing even larger, as demand from AI and cloud workloads continues to surge. Hyperscalers are moving from gigawatt factories to multi-gigawatt campuses. Colocation providers are shifting away from traditional enterprise models toward higher-capacity deals with anchor customers.

Traditionally, data centres are spatially concentrated to take advantage of shared infrastructure and customer proximity. Now, though, an increasing number of larger data centres are in development, meaning concentration is not going away. In North America, approximately **80%** of the data centres in the pipeline are expected to be in clusters, both existing and new.

Geographical distribution of data centres in the US



Source: International Energy Agency, ING Research. Note: Data centre clusters are defined as groups of facilities with a combined total designed capacity of over 500MW within a 100km radius.

Hyperscalers and operators are deepening the expansion of existing clusters, such as Northern Virginia and major Texas metropolitan areas, including Dallas and San Antonio.

Meanwhile, new hubs are forming. Rising land, power, and interconnection constraints in existing clusters are catalysing the emergence of new hubs such as West Texas and Ohio. Infrastructure in these regions is quickly developing. Digital infrastructure company US Signal, for instance, is constructing **over 1,000 miles** of new fibre networks across Ohio and Indiana. That length is enough to get you from New York City to Tampa, Florida.

For data centres, efficiency is key. This is true at the asset level, but it becomes more important at the system level – at clusters. Achieving system efficiency requires a holistic approach. Coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation stage.

Achieving system efficiency needs a holistic approach

For instance, new regional hubs serve both latency-sensitive AI inference and location-agnostic AI training. So, coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation.

Another key factor of system efficiency is local support. Data centre development can inevitably create pressure points for communities. For instance, in Ohio, now a major data centre hub, retail electricity prices rose 22% year over year. In some other cases, local communities have had concerns about data centre water usage and pollution. As local sentiment becomes a bigger consideration for project development, data centres need to demonstrate they can be part of the solution. Effective strategies include engaging with

communities early, identifying their needs, and reflecting them in project plans.

3. How remote data centre boomtowns can keep booming in the long term

But not all data centres will go for clusters. Some have headed to remote towns outside major metropolitan areas, betting that their multi-gigawatt ambition alone can achieve economies of scale.

One example is Abilene in Texas, home to the nearly 300,000-square-foot Stargate facility. The economic benefits from the project have surged: it has created thousands of construction jobs since its launch in mid-2024, while drawing in out-of-town labour. Other boomtowns and communities include New Florence, Missouri; Holly Ridge, Louisiana; and so on.

For these towns, much of the local economic growth now relies on data centres. That has raised questions about how these towns can sustain growth once data centre construction is completed. Studies suggest that for a traditional large data centre, operational job creation potential tends to be less than 10% of that of construction jobs.

We argue, however, that with the right strategies, data centres can meaningfully contribute to the development of local communities.

The key, first and foremost, is to **transform construction jobs into skill-oriented on-site asset management jobs**. As hyperscalers become larger and more sophisticated, the need for skilled labour to run such data centres could disproportionately grow. With more data centres pursuing behind-the-meter power solutions, there will be extra demand for labour capable of maintaining energy assets.

The second priority is to **transition from being a construction hub to becoming part of a broader AI ecosystem**. Even at the planning stage, data centres are encouraged to work with local stakeholders to develop a regional AI blueprint. For instance, Microsoft's hyperscaler buildout in Wisconsin includes partnerships with nearby colleges to support research and development (R&D), train skilled labour, and facilitate AI adoption among local companies, such as Regal Rexnord and Renaissance. By doing this, Microsoft is helping turn parts of Wisconsin into an "AI lab," with hyperscalers surrounded by educational institutions running dedicated AI programmes.

Data centre boomtowns need to transition from a construction hub to a broader AI ecosystem

This can create high-quality research jobs locally, with spillover benefits for employment in services and hospitality. Data centres would also benefit from working closely with state and

local governments to ensure that local communities have affordable housing, power, and other resources.

Conclusion

As AI becomes a megatrend affecting many sectors of the US economy, data centre development increasingly hinges on coordination across the supply chain and with local stakeholders. Power strategy, system-level efficiency and local alignment will increasingly define business success.

Ultimately, local support is a critical 'social license to operate'. Community trust will be awarded to players who align the interests of data centre developers, tenants, and power suppliers with those of local communities from the start. Data centres that incorporate flexible design, efficient hardware and software, and smart use of water and power – while engaging supply chains and local communities – are more likely to survive the 'boom' period and sustain long-term business continuity.

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